HMC ONE
AI STRATEGY. BUILT TO SCALE.

CLIENT CASE STUDY · BEVERAGES · FINANCE

COMMERCIAL FINANCE · DISTRIBUTOR & RETAILER SCHEMES

Trade Spend ROI

Every rupee of trade spend, traced to the cases it bought. HMC built a control room that measures the extra cases each scheme really created, simulates schemes before launch, checks every claim before payout and forecasts the month-end accrual.

~~0.9×~~ → **1.2×** margin per ₹ of trade spend

1.2× Return on trade spend, margin per ₹
▲ from about 0.9×

₹64 crore Spend moved to schemes that pay back
from low- to high-ROI schemes

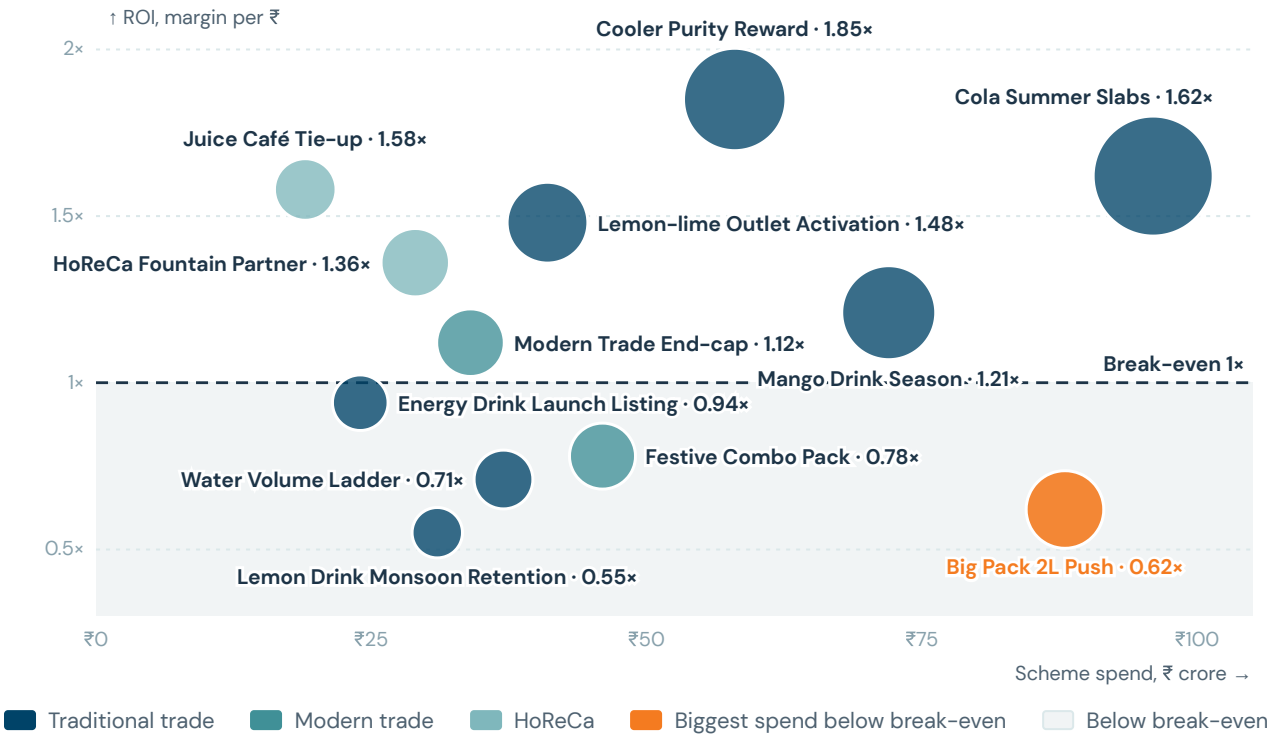
1.2% Claim leakage, share of payout
▼ from about 6%

±3% Month-end scheme accrual accuracy
▼ from about ±18%

Rings: ROI on a 2× scale with the earlier 0.9× inside; ₹64 crore as a share of the ₹850 crore illustrative annual budget; leakage and accrual error against their earlier level (inner full ring = before). Figures indicative; validated metrics available on request.

01 Which schemes actually bought extra cases

Scheme portfolio · spend × ROI · bubble size = extra cases vs matched control outlets · ILLUSTRATIVE



RED FLAG
₹88 cr at 0.62×
The big-pack volume push: the second-largest scheme, with 55% of its payout going to cases that would have sold anyway.

RED FLAG
5 of 12 schemes lose margin
₹226 cr of ₹575 cr sits below break-even, almost all of it in volume slabs and ladders.

PATTERN
Slab design decides the subsidy
The baseline share of payout runs from 15% to 58% across the twelve schemes.

OPPORTUNITY
Visibility beats volume
Cooler purity returns 1.85× with only 18% paid on the baseline: fund schemes that change outlet behaviour.

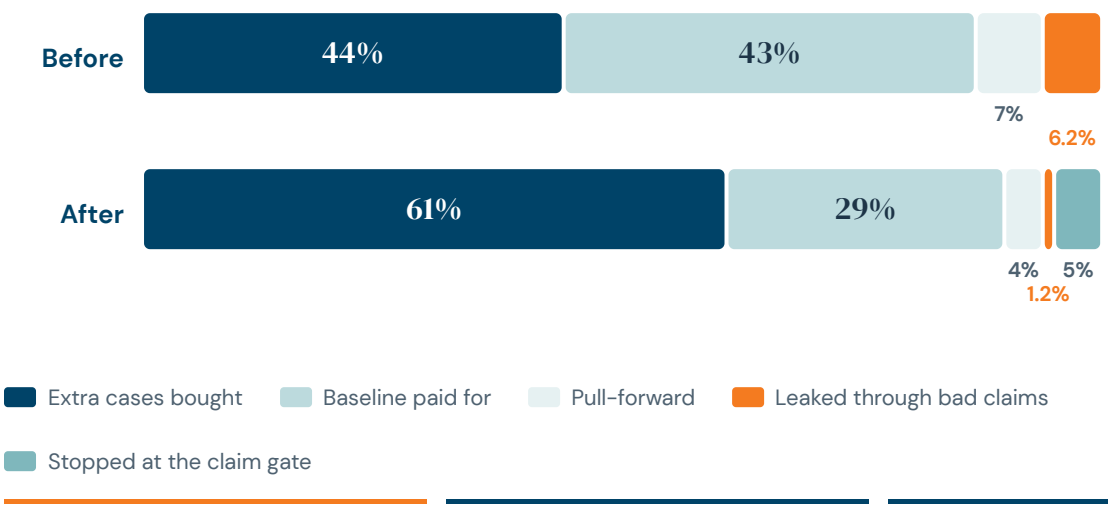
02 Follow the money, find the leaks

How a rupee of trade spend travels · synthetic flow for illustration

Trade budget ₹850 cr a year → Scheme design slabs · visibility → Distributors 2,400 partners → Retail outlets 6 lakh outlets → Claims 30,000 a month → **Validation gate** 5% sample → 6 checks → Payout credit notes

Where every ₹100 of scheme payout ended up

Share of trade spend, before and after the control room · ILLUSTRATIVE



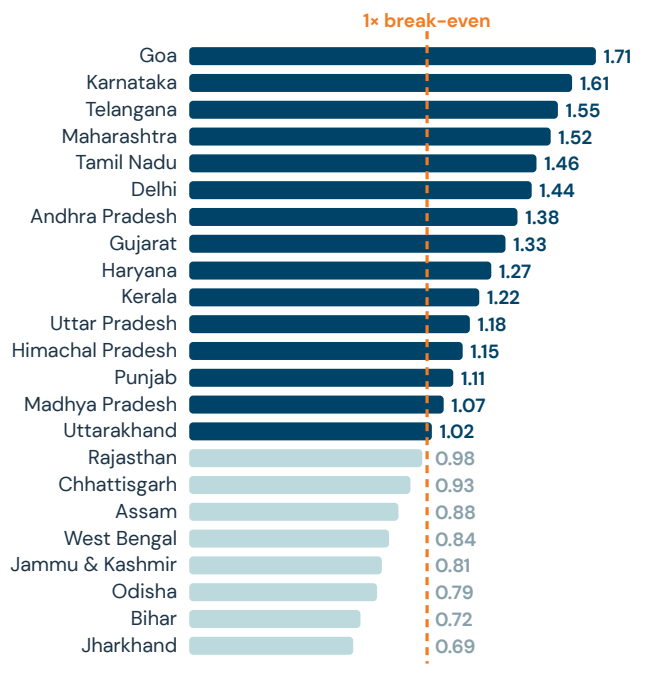
6.2% → 1.2%
leaked through duplicates, ineligible outlets and slab errors

43% → 29%
of payout spent on the baseline, now measured per scheme and designed out

44% → 61%
of spend buying genuinely extra cases against matched control outlets

ROI by state

8 of 23 states below break-even · ILLUSTRATIVE



Margin per ₹ of trade spend, by state

03 Four pain points, four fixes

Before → after

BEFORE
Volume, not uplift
Schemes judged on total cases sold, including cases that would have sold anyway.

MATCHED CONTROL OUTLETS

AFTER
Extra cases measured
Test vs control by size, channel, pack mix and town; ROI as incremental margin per rupee.

BEFORE
Paying for the baseline
Big outlets crossed slabs on natural growth and were paid for doing nothing different.

SIMULATE BEFORE LAUNCH

AFTER
Subsidy designed out
Every new scheme simulated for cost, uplift and ROI; no scheme without a simulated ROI.

BEFORE
Claims on trust
Thousands of distributor claims a month; a 5% sample checked by hand.

SIX AUTOMATED CHECKS

AFTER
Every claim checked
Duplicate invoice, above slab, volume above distributor sales, ineligible outlets, late claim, outlier.

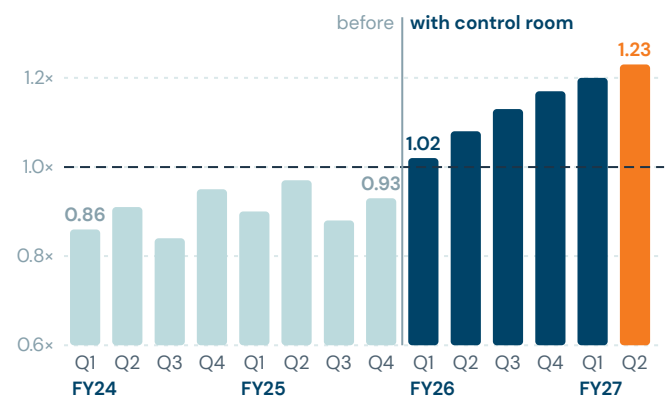
BEFORE
Accrual by guesswork
Month-end provisions trued up a quarter later, swinging margins.

ACCRUAL FORECAST

AFTER
Booked on day 2
Liability forecast with an 80% range; provision booked from the model on day 2 of close.

04 ROI by quarter

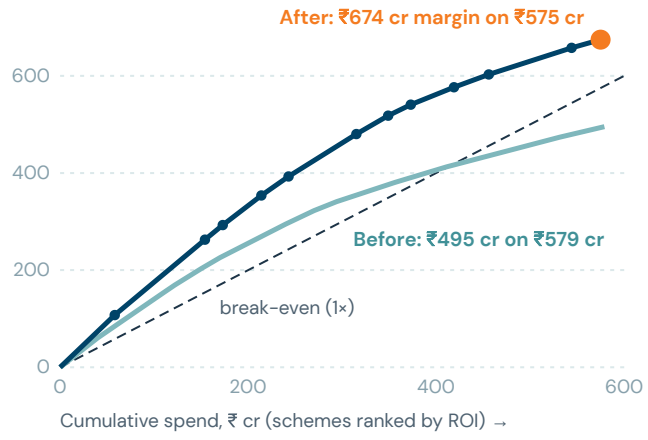
Margin per ₹ of trade spend · illustrative



Axis starts at 0.6× · dashed line = break-even

05 How payback builds

Same twelve schemes, budget reallocated · illustrative



06 How HMC ran it

3 weeks	**Discover · follow the money** Budget-to-payout map; leakage baseline from duplicates, ineligible outlets and slab errors.
2 weeks	**Design · measure the extra cases** Test-and-control ROI method and a six-check claim rule book agreed with sales.
6 weeks	**Build · control room** ROI dashboard, scheme simulator, claims engine and accrual model.
2 regions	**Adopt · finance signs off** Pilot: simulated ROI for every scheme, full claim checks, day-2 accruals.
All India	**Scale · all channels** Traditional, modern trade and HoReCa; distributor claim scorecards; bottom-up trade plan.

What any consumer company can borrow

01 Pay for the extra case
Measure against a matched control; total volume flatters every scheme.

02 Simulate before you announce
Slab design decides how much of the payout subsidises the baseline.

03 Check every claim
Automated checks cost less than the leakage a sample misses.

Built with **Python** (pandas) · **Matched control groups** (difference-in-difference) · **Simulation** · **Rules engine** · **OpenAI GPT** (vision) · **Power BI** | Prepared by Havish M Consulting · Figures indicative; validated metrics available on request. Charts use synthetic schemes, outlets and claims for illustration.

HMC ONE
AI STRATEGY. BUILT TO SCALE.